It has two meanings—one is related to the banking sector and other to the external sector:

i. In banking industry, a business firm bank account is known as current account. The account is in the name of a firm run by authorised person or persons in which no interest is paid by the bank on the deposits. Every withdrawal from the account takes place by cheques with limitations on the number of deposits and withdrawals in a single day. The *overdraft* facility or the *cash-cum-credit* (c/c Account) facility to business firms is offered by the banks on this account only.

ii. In the external sector, it refers to the account maintained by every government of the world in which every kind of current transactions is shown—basically this account is maintained by the central banking body of the economy on behalf of the government. Current transactions of an economy in foreign currency all over the world are—export, import, interest payments, foreign investment in shares.

All transactions are shown as either inflow or outflow (credit or debit). At the end of the year, the current account might be positive or negative.The positive one is known as a surplus current account, and the negative one is known as a deficit current account. India had surplus current accounts for three consecutive years (2000–03)—the only such period.

Current account deficit is shown either numerically by showing the total monetary amount of the deficit, or in percentage of the GDP of the economy for the concerned year. Both the data are used in analysis as per the specific requirement.

CAPITAL ACCOUNT

Every government of the world maintains a capital account which shows the capital kind of transactions of the economy with the outside economies. Every transaction in foreign currency (inflow or outflow) considered as capital is shown in this account—external lending or borrowing, private remittance’s inflow or outflow, issuing of external bonds, etc.

There is no deficit or surplus in this account like the current account.